HSC ECONOMICS · NEWS SUMMARY · STORY 3

STUDENT HANDOUT

Oil hits US$110 as Hormuz crisis drags on, then eases

ABC News / Kalkine (EIA, IEA, Kpler and ACCC data), 16–19 October 2026 · Topic 1: The Global Economy · prepared 20 October 2026

US$110
Brent crude on Friday, highest since May; about US$107 by Monday [1][3]

+76%
rise in Brent since the start of 2026 (from about US$61) [3]

11.6m
barrels a day through Hormuz, vs 17.15m before the war [3]

278.5c
average diesel price per litre in big Australian cities, 14 Oct [3]

Brent crude, the global oil benchmark, reached about US$110 a barrel on Friday 16 October, its highest level since May, as fighting in the Middle East kept the Strait of Hormuz partly closed and Ukraine struck a major Russian refinery [1][2][3]. Prices fell to about US$107 on Monday after the US waived its threatened tariffs on buyers of Russian oil [3]. The shock is feeding inflation around the world, including at Australian bowsers.

KEY FACTS

- Military action from 28 February effectively closed the Strait of Hormuz, which carried about a quarter of global seaborne oil trade [3][5]. Shipping in the week to 13 October was 11.62 million barrels a day, against 17.15 million before the war [3].
- Brent peaked near US$118 at the end of March, fell to about US$72 by 1 July after a June deal, then climbed back above US$100 when fighting resumed [3].
- The International Energy Agency (IEA) says global stocks are 509 million barrels below end-February levels. On 15 October it agreed to release more than 20 million barrels of diesel and remaining emergency stocks [2][3].
- OPEC+ has very little spare capacity (about 0.27 million barrels a day) and kept its November targets unchanged [3].
- The US waived penalties under the Graham Act that threatened tariffs of up to 100% on the biggest buyers of Russian oil. The waiver is subject to a 60-day review [3].
- Refiners are profiting: Ampol's Lytton refining margin rose 125% on a year earlier to US$23.92 a barrel [1].
- In Australia, petrol averaged 241.9c and diesel 278.5c a litre on 14 October, up 71.0c and 101.9c since 20 February [3]. A rule of thumb is that each US$10 rise in oil adds about 10c a litre [6].
- The US Energy Information Administration expects Brent to average US$105 in the December quarter and US$84 in 2027 [3].

SYLLABUS LINKS

Topic 1 Global economic issues: an international supply shock and its effects on global growth and inflation.
Topic 1 Protectionism and trade policy: tariffs used as sanctions (the US waiver on Russian oil buyers).
Topic 2 Australia's terms of trade: higher import prices for fuel; higher export prices for coal and LNG.
Topic 3 Inflation: cost-push inflation from energy prices; environmental sustainability and fuel dependence.

KEY TERMS

Brent crude: the main international benchmark price for oil, measured in US dollars a barrel.

Strategic reserve release: governments selling emergency oil stocks to ease a supply shortage.

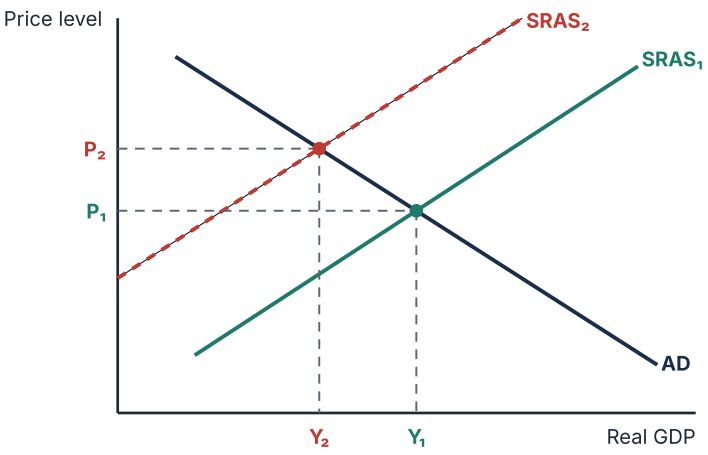
Stagflation: rising inflation combined with slowing growth or rising unemployment.

Cost-push inflation: inflation caused by rising production costs, such as fuel or wages.

OPEC+: a group of oil-producing countries that coordinates output to influence prices.

Refining margin: the difference between the price of crude oil and the price of the fuels made from it.

AN OIL SUPPLY SHOCK IN THE AD/AS MODEL



- Higher oil prices raise production and transport costs for firms.
- Short-run aggregate supply shifts left, from $SRAS_1$ to $SRAS_2$.
- The price level rises (P_1 to P_2): cost-push inflation.
- Real output falls (Y_1 to Y_2), so unemployment tends to rise.
- This mix of higher inflation and weaker growth is 'stagflation'.

Illustrative diagram. In practice, higher prices for Australia's coal and LNG exports partly offset the shock by lifting the terms of trade.

COMPETING PERSPECTIVES

Prices could ease from here

- The US waiver may let more Russian fuel reach world markets [3].
- The IEA is releasing emergency diesel stocks [2].
- Gulf flows have recovered to about 80% of pre-war levels, according to the US Energy Secretary [3].
- The EIA forecasts Brent falling to US$84 in 2027 [3].

Risks remain to the upside

- Stocks are 509 million barrels below February levels [3].
- OPEC+ has almost no spare capacity to fill a gap [3].
- Ukraine says it will keep targeting Russian energy infrastructure [2].
- The US waiver could be reversed after its 60-day review [3].

EVIDENCE FOR EXTENDED RESPONSE

Sample question: Analyse the effects of a global supply shock on the Australian economy.

- Use the SRAS shift: Brent +76% this year and diesel up 101.9c since February [3].
- Explain cost-push inflation and the risk of stagflation, using the AD/AS diagram.
- Balance it: higher coal and LNG prices lift export income; refiners such as Ampol benefit [1].
- Link to policy: the RBA cannot increase oil supply, but it must prevent second-round effects (see Story 11).

SHORT-ANSWER QUESTIONS 15 marks

1. Define 'cost-push inflation'. **2 marks**

2. Explain TWO reasons why oil prices rose to around US$110 a barrel in October 2026. **3 marks**

3. With reference to an AD/AS diagram, explain the likely impact of the oil price shock on inflation and economic growth. **4 marks**

4. Assess whether the oil price shock is likely to have a net positive or negative effect on Australia's economy. **6 marks**

SOURCES

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3. Kalkine Media, *Brent crude price 2026: up 76%: why the Hormuz crisis still outweighs a Russia sanctions waiver*, 19 Oct 2026. https://kalkine.com.au/news/economic-news/brent-crude-price-2026-up-76-why-the-hormuz-crisis-still-outweighs-a-russia-sanctions-waiver
4. Atlantic Council, *Live updates from the IMF-World Bank Annual Meetings*, 12–16 Oct 2026. https://www.atlanticcouncil.org/blogs/econographics/live-updates-from-the-imf-world-bank-annual-meetings-in-thailand-as-financial-leaders-take-on-ai-debt-and-geopolitical-upheaval/
5. MAS Economics, *IMF World Economic Outlook October 2026*, Oct 2026. https://maseconomics.com/imf-world-economic-outlook-october-2026/
6. SBS News, *$1 a litre more: three oil price scenarios and how they'd hit Australians*, 2 Mar 2026. https://www.sbs.com.au/news/article/iran-war-petrol-price-australia-cost-of-living/objigdmwm

Note: SMH and AFR coverage could not be retrieved. Oil prices move daily; the figures are as reported on 16–19 October. Kalkine is a financial-markets publisher that cites EIA, IEA, Kpler and ACCC data.